

# Board of Directors Package

## Crestview Coffee Roasters — Q4 2019

Board Meeting: February 6, 2020 | Confidential — Board Use Only

| <b>Date</b>          | February 6, 2020                                                                   |
|----------------------|------------------------------------------------------------------------------------|
| <b>Location</b>      | Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111 |
| <b>Board Members</b> | S. Chen, M. Tang (Atlas Crossing); A. Barrow (CEO); D. Frost, L. Kim (Independent) |
| <b>Management</b>    | A. Barrow (CEO); K. Williams (CFO); T. Wu (CMO); R. Flores (COO)                   |
| <b>Deal Team</b>     | S. Chen (Partner), M. Tang (MD), J. Mendez (VP), K. Patel (Associate)              |

### Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

## Executive Summary

Crestview Coffee Roasters delivered Q4 2019 revenue of \$77.2M and EBITDA of \$10.6M (13.7% margin), ahead of budget by 3.1%. Q4 holiday season delivered record DTC orders, validating the channel investment thesis.

## Financial Performance

| Metric          | Q4 2019 Actual | Budget  | Var. to Bud. | Prior Year Qtr | YoY |
|-----------------|----------------|---------|--------------|----------------|-----|
| Revenue         | \$77.2M        | \$74.9M | +3.1%        | —              | —   |
| Gross Profit    | \$32.7M        | —       | —            | —              | —   |
| Gross Margin %  | 42.4%          | —       | —            | —              | —   |
| EBITDA          | \$10.6M        | \$10.0M | +6.0%        | —              | —   |
| EBITDA Margin % | 13.7%          | —       | —            | —              | —   |
| D&A             | (\$1.5M)       | —       | —            | —              | —   |
| EBIT            | \$9.1M         | —       | —            | —              | —   |
| Interest        | (\$4.1M)       | —       | —            | —              | —   |
| Net Leverage    | 5.8x           | —       | —            | Entry: 5.9x    | —   |
| LTM EBITDA      | \$37.7M        | —       | —            | Entry: \$36.5M | —   |

## Operational KPIs

| KPI                    | Current Quarter | Entry Baseline | Target            |
|------------------------|-----------------|----------------|-------------------|
| DTC % of Revenue       | 23.6            | 22.0           | Target: 44.0      |
| Subscription Customers | 53,185.2        | 48,000.0       | Target: 118,000.0 |
| Roasting Facilities    | 3.0             | 3.0            | Target: 5.0       |
| Avg. Order Value (\$)  | 69.0            | 68.0           | Target: 82.0      |

## Strategic Initiatives

| Initiative                     | Status      | Detail                                                                      |
|--------------------------------|-------------|-----------------------------------------------------------------------------|
| ERP / NetSuite rollout         | On track    | Phase 1 live in Portland roastery; national rollout Q1 2020                 |
| DTC channel replatform         | In progress | New e-commerce platform selected; build begins Q4 2019                      |
| Subscription launch            | Planning    | Subscription model designed; pilot launch targeted Q2 2020                  |
| Pacific Northwest bolt-on scan | Initiated   | 5 regional roasters under NDA; Cascade Roasting management meeting Jan 2020 |

## Key Risks & Mitigation

| Risk                 | Severity | Mitigation                                                     |
|----------------------|----------|----------------------------------------------------------------|
| Integration pace     | Medium   | IMO cadence established; weekly steering committee             |
| DTC unit economics   | Low      | CAC below target; LTV / CAC ratio at 3.8x in pilots            |
| Green coffee pricing | Medium   | Forward contracts cover 80% of FY2020 needs at favorable rates |

## Next Quarter Outlook

Q1 Q1 2020 expected revenue \$76.8M. DTC replatform go-live target Q1 2020. Cascade Roasting LOI target Q1 2020.

*Confidential — prepared for the Board of Directors of Crestview Coffee Roasters and Atlas Crossing Partners. Not for distribution.*